18

ECONOMIC SURVEYS BY THE OECD

DENMARK

I. 2. B. 3.

JANUARY 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

DENMARK

BASIC STATISTICS

THE LAND

Area (thousand sq.km.)	43
Agricultural area (thousand sq.km.)	31

Urban population inclusive suburbs (July 1963) :	
Copenhagen	1,348,000
Other cities	1,427,000

THE PEOPLE

Population (July 1963)	4,681,500
Number of inhabitants per sq.km	109
Net natural increase (average 1960-1962)	32,700
Net per 1,000 inhat. (average 1960-1962)	7,1

Labour force, total (1960)	2,094,000
Of which in agriculture	366,000

PRODUCTION

Gross national product in 1962 (millions of kroner)	50,900
GNP per head (U.S. dollars)	1,584

Gross fixed capital formation in 1962 :	
— Per cent of GNP	21
— Per head (U.S. dollars)	330

THE GOVERNMENT

Public consumption in 1962 (per cent of GNP)	13
General government current revenue in 1962 (per cent of GNP)	29
Public gross fixed capital investment (per cent of GNP)	2

Composition of Parliament (No of seats) :	
— Social Democrats	76
— Social Liberals	11
— Liberals	38
— Conservatives	32
— The Independent Party	6
— Left Wing Socialists	11
— German minority	1
— Greenland and Faroe Islands	4
Total	179

Last general election : 1960
Next general election : 1964

LIVING STANDARDS

Calories per head, per day (1961-62)	3,370
Average hourly earnings of workers in manufacturing and construction in 1962 (in kroner)	7,39

Number of passenger cars in use per 1,000 inh. (Dec. 1962)	117
Number of telephones per 1,000 inh. (1960)	236
Number of radio licences per 1,000 inh. (1960)	332

FOREIGN TRADE

Exports :	
Exports of goods and services in per cent of GNP (1962)	29
Main exports in 1962 (percentage of total merchandise exports) :	
— Agricultural products	40
— Canned meat and canned milk	7
— Industrial goods	46
— Other goods	7

Imports :	
Imports of goods and services in per cent of GNP (1962)	33
Main imports in 1962 (percentage of total merchandise imports) :	
— Machinery	13
— Fuels	12
— Base metals	9
— Transport equipment	11
— Textiles	9

THE CURRENCY

Monetary unit : Krone.

Currency unit per U.S. dollar : 6.91.

ECONOMIC SURVEYS BY THE OECD

DENMARK

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are : Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
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DENMARK

1. The strong inflationary pressures that developed in 1961 and 1962 have been arrested. Following the introduction of a very comprehensive stabilisation programme — initiated by fiscal policy and building controls in 1962 and supplemented by direct action on wages, profits, prices, and savings in 1963 — the rise in prices has levelled out, and the deficit on the current account of the balance of payments has disappeared. With foreign borrowing at a relatively high level, the foreign exchange reserves rose significantly in 1963. Although the expansion of activity has slowed down, unemployment has remained low.

2. Now that economic stability has been restored, attention can be concentrated more than in the recent past on Denmark's longer-term problems; the particular need is for continued structural adjustments towards an economic pattern in which agriculture is relatively less important and industry larger. Thus, after reviewing recent developments and short-term prospects, the present survey considers Denmark's major structural problem and the policies required to deal with it.

I. RECENT DEVELOPMENTS

3. Strong pressures on resources developed in 1961 and 1962. From the beginning of 1961 to mid-1962, consumer prices rose by about 10 per cent; a further increase of about 4 per cent took place in the autumn, but this was largely due to the introduction of a purchase tax. The deficit on the current account of the balance of payments rose to more than $ 100 million in 1961 and to an annual rate of $ 240 million in the first half of 1962 (about 3.1/2 per cent of the gross national product). The net foreign exchange reserves of the National and commercial banks, despite an inflow of foreign capital, fell rapidly to $ 125 million in September, the equivalent of less than one month's merchandise imports at the current rate.

4. In March 1962, the Government proposed a combination of restrictive measures to restore economic stability, with the emphasis on a stricter fiscal policy and restraint of building activity. But because

of the need to obtain agreement between the four main political parties, certain of the measures were not introduced until August. The most important measures were :

a) A general purchase tax of 9 per cent became effective as from August 1st, 1962. The tax is levied at the wholesale level and calculated to yield Kr. 800-900 millions a year — about 10 per cent of the Government's current and investment expenditures. It does not apply to food, fuel and services.

b) A ceiling was placed on Government expenditures for the fiscal year 1962-63 (ending March 1963).

c) Starts of private and public building projects were to be reduced.

d) Children's allowances were raised and direct taxes reduced for the lowest income groups; national and disablement pensions were increased to offset part of the effects of the purchase tax.

e) Direct tax rates would be reduced from the summer 1963, with a budgetary cost of about D.kr. 750 million in comparison with the proceeds which would arise from unchanged rates.

f) Direct and indirect taxes were excluded from the wage-regulating cost of living index, effective from 1st January 1963.

5. These measures had a stabilising influence on the economy, but it was clear at the beginning of 1963 that the improved stability was already endangered. First, the rise in the cost of living index was likely to lead to an automatic increase in wages of 3 per cent in March-April. Second, there was a clear risk that the income negotiations scheduled for the first half of 1963 — affecting wages and salaries, farmers' incomes, and old-age pensions — would lead to excessive increases in nominal incomes. Since collective bargaining for the majority of wage and salary earners had failed to reach a settlement, there was also a risk of serious labour conflicts. Moreover, the reduction in direct taxes was soon to come into effect. When it became clear that government intervention was needed, the authorities sought, in a co-ordinated approach, to arrive at a comprehensive agreement covering all questions relating to wages and incomes, including tax policy. Since the real economic scope for higher incomes was small, the authorities aimed at maintaining the status quo. In March, a remarkable range of measures was combined into a programme which took the form of Parliamentary legislation. The most important provisions of the new legislation were:

a) the collective agreements expiring at the end of February were prolonged for a two-year period, with an average increase in wages of 1.1/4 per cent in the first year (affecting only the lower-paid workers), and a general increase of 2.1/2 per cent in the second year; salaries of civil servants and certain other groups were to be increased correspondingly, and so were old-age and disablement pensions;

b) government support payments to agriculture were to continue for two years at the same rate as in 1962-63, with only small increases; the home-market scheme relating to agricultural prices introduced in October 1962 was prolonged until mid-1965;

c) a price/profits stop was introduced, with price increases permitted only where they were justified by increases in costs resulting from the new legislation or from higher raw material or transport costs; no increase in absolute dividend payments in the 1963-1965 period would be permitted;

d) a compulsory savings scheme was adopted; its proceeds were designed to offset most of the loss in budget receipts resulting from the cut in direct taxes;

6. The measures taken in 1962 had created a large budget surplus — of about the same size as that achieved when the economy was in reasonable balance between 1958 and 1960. The distinguishing features of the March 1963 measures were to introduce an exceptional degree of official intervention in the field of wages, prices and profits and to maintain a relatively tight fiscal policy. The very restrictive policy in respect of the issue of building permits for 1963 decided in November 1962 was supplemented by the postponement of new public building starts in the fiscal year 1963-64 until after 1st of September. No major changes were made in monetary policy; credit conditions had already been tightened in 1961, when the discount rate had been raised to 6.5 per cent. Indeed, to avoid too abrupt a rise in interest rates, the National Bank has been supporting the bond market by open market operations, and it increased its lending in the later months of 1962 and the beginning of 1963.

7. As a result of these measures, economic stability has been restored. The balance of payments has improved significantly, and the rise in prices has levelled out. The expansion of output and demand has slowed down, but reasonably full employment conditions have been maintained.

Output and demand

8. In the absence of a monthly or quarterly production index, the movement of output during 1963 is difficult to assess. But demand indicators suggest that the real gross national product rose by only 2 per cent between 1962 and 1963. In the first quarter, with bad weather, activity probably fell below the level of a year earlier and unemployment rose sharply. But the spring and summer saw a recovery. In the third quarter, employment amongst the insured labour force was 1 per cent higher than in the third quarter of 1962, with no increase in the number of unemployed. But the number of hours worked in manufacturing was lower than a year earlier, mainly because of less overtime work.

Table 1. CENTRAL GOVERNMENT BUDGET

D. Kroner million.

APRIL TO MARCH	1960–61	1961–62	1962–63	1963-64[1]	1964-65[2]
Current revenue	7,317	8,026	9,830	10,960	11,806
Personal taxes	2,481	2,600	3,229	3,475	3,907
Corporate taxes	430	449	528	570	700
Customs and excise taxes	4,171	4,674	5,704	6,475	6,691
Other revenue	235	303	369	440	508
Current and investment expenditure	6,225	7,802	9,114	10,450	11,249
Civil current expenditure	4,353	5,662	6,508	7,490	8,171
Civil investment expenditure	827	973	1,102	1,340	1,402
Defence (including civil defence)	1,045	1,167	1,504	1,620	1,676
Surplus on current and investment account	1,092	224	716	510	557
Total capital expenditure	926	1,052	768	885	793
Financed by:					
a) Surplus on current and investment account	1,092	224	716	510	557
b) Capital income[3]	201	213	232	595	407
c) Cash deficit	—367	615	—180	—220	—171

1. Budget, as adopted by Parliament, with some corrections.
2. Budget, proposed by the Government.
3. Of which compulsory savings 1963-64: 345 m. Kr.; 1964-65: 175 m. Kr.

Source: Statsfinanserne 1963, and Danish submission to the O.E.C.D.

Table 2. EMPLOYED AND UNEMPLOYED MEMBERS OF UNEMPLOYMENT INSURANCE FUNDS

Thousands of persons.

	EMPLOYED	UNEMPLOYED[1]
1961, 1st quarter	700	44
2nd quarter	726[2]	18
3rd quarter	736	12
4th quarter	727	26
1962, 1st quarter	712	46
2nd quarter	746	13
3rd quarter	753	9
4th quarter	744	23
1963, 1st quarter	699	70
2nd quarter[3]	748	19
3rd quarter[3]	761	9

1. Average of weekly returns.
2. Including a large number of workers on strike or lock-out.
3. Excluding one Fund with over 2,000 members which was included in the official statistics as from 1st April, 1963.

Source: Statistiske Efterretninger.

9. Net exports were the main dynamic element in 1963; the improvement of the balance of goods and services[1] represented some 2.5 per cent of GNP, exports rising sharply and imports falling. Total domestic demand was at about the same level as in 1962 in real terms. Public consumption continued to rise, but private consumption was not much higher than in 1962; consumer demand has fallen off after purchases had accelerated in anticipation of the general sales tax introduced in August, 1962; in the first half of 1963 the volume of retail sales was still somewhat lower than a year earlier. The volume of total fixed asset formation was probably very much the same as in 1962. Most non-industrial construction is subject to control. As mentioned above new starts of public building projects were deferred to after 1st September in order to avoid too much pressure on the labour market in the summer, following the severe winter. With industrial construction also levelling off, the volume of building starts in the first half of 1963 was 25 per cent lower than a year earlier, entailing a 3 per cent decline in the volume under construction. Industrial investment in equipment has risen little, if at all. Investment in inventories may have fallen.

Incomes and Prices

10. Total nominal incomes were some 7 to 8 per cent higher in mid-1963 than in mid-1962. But with higher direct tax payments and a rise in prices (partly reflecting the new sales tax) real disposable incomes were not higher than a year earlier.

11. The stabilization programme has clearly led to a much slower increase in money wages. Hourly earnings in manufacturing had been rising at an annual rate of about 10 per cent from the beginning of 1961 to the beginning of 1963. But since the 3 per cent automatic wage increase (reflecting the sliding scale arrangements) of the spring, and the 1.1/4 per cent rise which resulted from the general settlement in March, relatively stable conditions have prevailed. A 1 per cent wage increase was granted in the autumn of 1963 in connection with the introduction of the new wage-regulating index, and wagedrift since early 1963 has slown down appreciably.

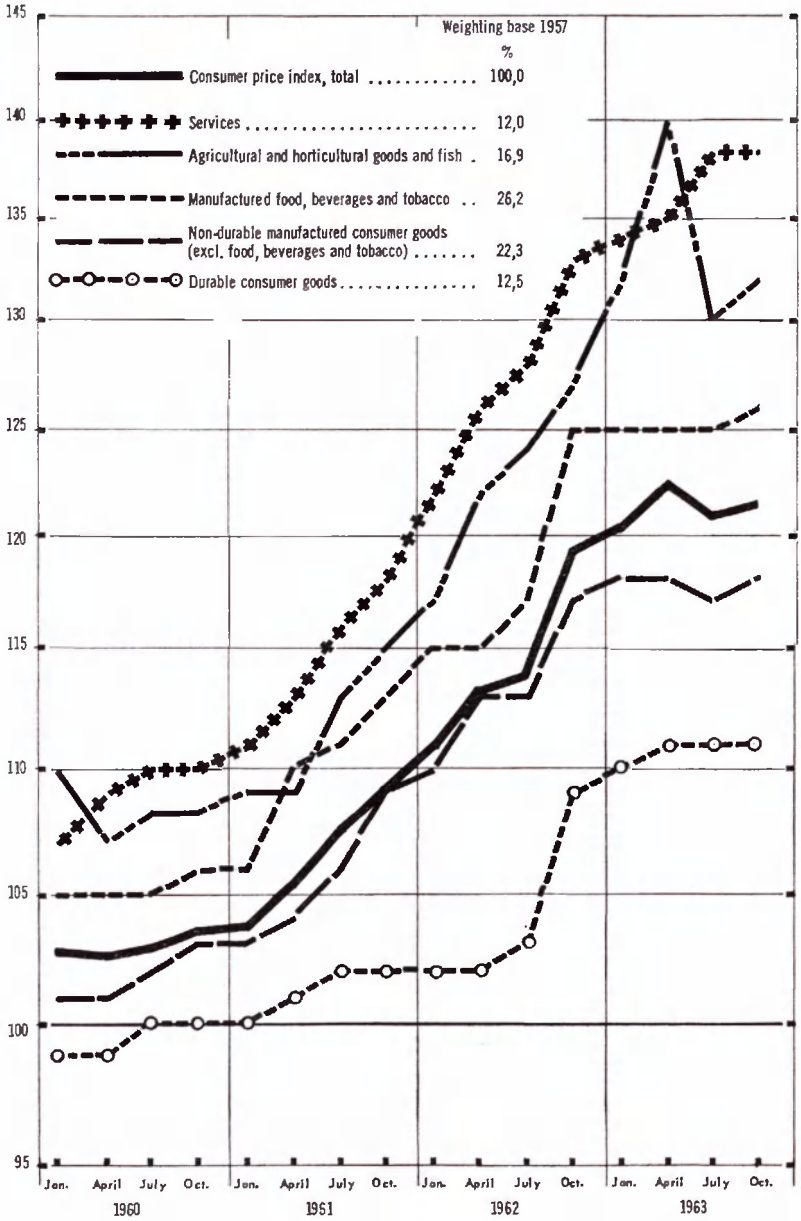
12. During 1962, the consumer price index had risen by 8 per cent, partly because of the introduction of the sales tax in August. In 1963, the index has been fairly stable. The rise in wholesale prices has also levelled out.

Balance of Payments

13. The current account of the balance of payments has been in virtual equilibrium in 1963, in contrast to the deficit of about $250

1. Excluding an exceptional rise in exports of new and old ships.

Diagram 1. CONSUMER PRICES
JULY 1957 = 100



Source : Statistiske Efterretninger.

million of 1962. But the improvement was to some extent due to exceptional factors. The first half of the year saw a relatively large capital inflow. Central government borrowing was at about the same level as a year earlier, but local authorities and power and telephone companies raised much larger loans abroad than in 1962, influenced by the high interest rates in Denmark. There was also a certain import of long- and short- term capital by the private sector. The second half of the year saw much lower capital import, particularly on public account; this partly reflected changed conditions in the United States, and partly the fact that the authorities have introduced restrictions on public foreign borrowing with a maturity of less than ten years. The gross official foreign exchange reserves rose by $160 million in the first eleven months of the year to nearly $380 million in November, the equivalent of about two months' imports (c.i.f.). Over the same period, the foreign indebtedness of the commercial banks declined by about $60 million.

TABLE 3. INDUSTRIAL AND AGRICULTURAL EXPORTS

JAN.-OCT.	INDUSTRIAL EXPORTS[1]		AGRICULTURAL EXPORTS, EXCL. CORN[2]		CORN BALANCE[3]
	MILL. D. KR.	PERCENTAGE CHANGE FROM PREVIOUS YEAR	MILL. D. KR.	PERCENTAGE CHANGE FROM PREVIOUS YEAR	MILL. D. KR.
1959	2,743		4,236		—337
1960	3,072	12	4,361	3	—399
1961	3,422	11	4,238	—3	—204
1962	3,836	12	4,397	4	—353
1963	4,380	14	4,788	9	— 82

1. Excluding ships.
2. Including canned milk and meat.
3. Exports minus imports.

Source: Danish submission to the O.E.C.D.

14. The improvement of the current account can largely be ascribed to a better trade balance. In the first ten months of the year, exports were 14 per cent higher than a year earlier. Industrial exports rose by as much as 19 per cent in total — or 15 per cent excluding ships. Agricultural exports rose by about 9 per cent, largely because of higher bacon and butter prices in the United Kingdom and a temporary relaxation of import restrictions in Italy. Imports in the first ten months of the year were slightly lower than a year earlier, reflecting the levelling off of internal activity and the decline in stock accumulation.

TABLE 4. BALANCE OF PAYMENTS

Millions of dollars.

	1960	1961	1962	1st HALF	
				1962	1963
Exports (f.o.b.)	1,488	1,531	1,656	796	914
Imports (f.o.b.)	1,699	1,772	2,021	968	981
Trade balance	—211	—241	—365	—172	— 67
Net freight earnings	77	71	69	36	36
Other services, net	73	59	55	21	22
Balance of goods and services	— 61	—111	—241	—115	— 9
Net unilateral transfers	3	1	—	—	—
Current balance	— 58	—110	—241	—115	— 9
Net public capital movement	— 5	8	32	27	85
Net private capital movement	27	69	92	38	— 6
Errors and omissions	11	9	26	13	28
Overall balance	— 25	— 24	— 91	— 37	98
Private monetary institutions liabilities/assets	55	21	65	33	— 40
Liabilities/assets of central monetary institutions					
Official gold and foreign exchange reserves	— 30	3	26	4	— 58

Source: Denmark's submission to the O.E.C.D. and O.E.C.D. Statistical Bulletin.

II. PROSPECTS

15. Both internal and external conditions should be favourable to the resumption of a faster rate of growth in 1964. With economic stability restored at home, monetary restrictions were somewhat relaxed in the second half of 1963; the discount rate was reduced from 6.5 to 6 per cent in August and to 5.5 per cent in November. Direct control over residential construction is gradually to be removed; this may, however, be accompanied by some tightening of mortgage credit terms. The compulsory savings scheme is due to expire in 1964. Externally, trends in most Member countries point to further expansion in 1964. And the Danish authorities feel that even the more modest volume of capital imports expected in the coming months should, together with growing export earnings, be sufficient to finance the rise in imports associated with faster expansion.

16. In these circumstances, activity would seem likely to expand faster in 1964 than in 1963. The marked increase in exports should continue; agricultural sales are not expected to rise, but a further signi-

ficant increase in industrial exports is likely; foreign demand should remain strong, and there is no indication that the sharp rise in wages in recent years has weakened the competitive position of Danish industry. Public expenditure will show a further rise, and personal consumption should revive, stimulated by the 2.1/2 per cent rise in wages due in March and by the abolition of the compulsory savings scheme. The Danish authorities also expect some increase in residential construction and business fixed investment. Inventory movements are difficult to predict, but an increase in investment in stocks is likely.

17. The broad trends outlined above should be sufficient to re-establish a higher rate of growth in 1964. It is clearly important that full employment and a high long-term rate of growth should be sought. It is only in such conditions that satisfactory progress towards a solution of Denmark's structural problems can be made.

III. STRUCTURAL RE-ADJUSTMENT

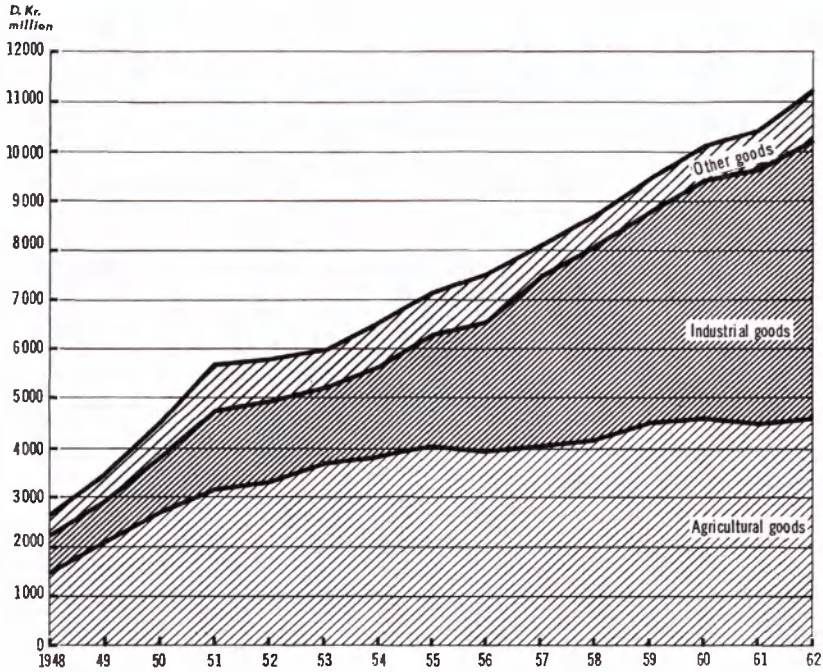
The Problem

18. The problem need only briefly be recapitulated here. Since the early 1950's protective policies abroad have hampered the expansion of Denmark's agricultural exports. Although the farmers themselves have solved part of their problem by mechanisation and rationalisation, the protective policies abroad have prevented in Danish agriculture from sufficiently expanding for agricultural incomes to rise in line with those in other sectors, and have accentuated the need for larger farms. It has also created serious problems for economic policy : the slow increase in agricultural exports has affected the balance of payments, and the release of manpower from agriculture has required a strong increase in employment in other sectors.

19. Considerable progress has been made in expanding non-agricultural employment and exports. Over the past decade (between 1952 and 1962) the value of non-agricultural exports rose by 175 per cent, with the share of total commodity exports accounted for by industry rising from 28 per cent to 50 per cent. Over the same period, the agricultural labour force was reduced by one third. But agriculture still represents about 15 per cent of the total labour force, and it is clear that further progress is needed ; protective policies abroad remain an important obstacle to agricultural exports, and farm products still account for about two-fifths of total merchandise exports. Since the employment of hired workers on farms has now been brought down to a very low level, further reduction of the agricultural labour force depends mainly on the possibility of merging existing farm units.

Diagram 2. EARNINGS FROM COMMODITY EXPORTS

CURRENT PRICES



Source : Economic Survey of Denmark.

STRATEGY FOR FURTHER PROGRESS

20. Three elements of the strategy to deal with the problem are of particular importance :

a) the maintenance of full employment and fast expansion;

b) the maintenance of the competitive position of Danish industry;

c) the willingness and ability to secure, as necessary, moderate amounts of long-term foreign capital.

21. Experience both in Denmark and elsewhere shows clearly that fast expansion, with strong demand for labour, is an important condition both for the transfer of manpower from agriculture to other sectors and for rapid industrialisation; see Table 5. In the 1950-1957 period, output rose relatively slowly and unemployment was high throughout. Although a number of specific measures were taken to stimulate labour mobility and industrial investment, and in spite of a considerable outflow of labour from agriculture, the expansion of industry was slow. By contrast, the 1957-1962 period, with a rapid expansion of activity,

was marked by a high rate of industrial investment and a sharper decline in the agricultural labour force.

TABLE 5. INDUSTRIAL INVESTMENT

	UNITS	1950-1957	1957-1962
G.N.P.	Per cent increase per year	2.4	5.4
Industrial fixed asset formation	Per cent increase per year	3.7	19.8
Non-agricultural fixed asset formation	Per cent of G.N.P.	13.8	17.0
Unemployment	Per cent of insured labour force	9.3	5.8
Decline in agricultural employment	Per cent per year	2.6	4.6

Source: Danish submission to the O.E.C.D.

22. The maintenance of competitive costs and prices is clearly essential both for the balance of payments and for the development of industry. The remarkable expansion of industrial exports over the last decade, and the acceleration over the past year, show that the competitive position of Danish industry is strong; it is important that it should be maintained, thereby easing the balance of payments problem.

23. Over most of the post-war period Denmark has had great difficulty in combining full employment and external equilibrium. The strong increase in primary product prices during and after the Korean war rendered the problem particularly difficult in the earlier 1950's. Although some recourse to foreign borrowing would have increased the scope for an expansion of domestic activity and investment, the Danish authorities preferred, at the time, not to have recourse to long-term capital inflows.

24. The decline in primary product prices after 1957 eased the balance of payments problem and enlarged the scope for domestic expansion without endangering the foreign balance. But there are indications that, with full employment and fast expansion, the maintenance of overall external equilibrium still requires some import of capital; in 1963 the current account was in virtual equilibrium, but with exports of ships and inventory demand at more normal levels, there would have been a deficit.

25. Official policy concerning imports of foreign capital was changed in 1957, and since then there has been a fairly steady, but moderate, net inflow of long-term capital. Foreign capital should not, of course, be a substitute for measures to stimulate domestic savings, nor for proper action to deal with a balance of payments deficit resulting from domestic

inflation. But if it is needed to maintain a satisfactory rate of growth in non-inflationary conditions, a moderate inflow of foreign capital would seem appropriate.

Diagram 3. GROSS FACTOR INCOME IN AGRICULTURE IN PER CENT OF G.N.P. AT FACTOR COST

1958 PRICES

Source : Danish submissions to the O.E.C.D.

POLICY PROBLEMS

26. The problem of combining full employment and reasonably stable prices and foreign payments is difficult. In Denmark, as in other countries, an improvement of the past record will depend, to an important extent, on the policies adopted. Danish experience suggests that improvements in three directions are required :

a) a more active use of existing policy instruments;
b) the development of additional policy instruments;
c) more long-term studies of economic development;

27. The policy instruments used by the Danish authorities are roughly comparable to those used in many other countries. In the monetary field open market operations and discount rate changes are the main weapons. In budget policy, the Government has relied mainly on changes in taxation; variations in current expenditure have been little used as an instrument of demand management. But building controls — covering roughly half the volume of building activity — and variations in public investments have represented important policy instruments.

28. Policy performance in 1962 and 1963 was impressive. A broad range of policy measures was used. But this reflected political realisation that the country was already in the grip of an economic crisis. A fair criticism of economic policy in Denmark is that government action, particularly to restrain demand, has had a tendency to be taken too late. Instead of relatively moderate adjustments of policies at an early stage, government action has typically been delayed until the situation has become critical; delay usually means that much stronger intervention is required, and this tends to be followed by stagnation or decline in economic activity. This criticism is perhaps truer of fiscal policy than of monetary policy, which has been changed more frequently and at earlier stages of the business cycle.

29. During the 1957-1962 expansion, for example, it was clear by 1961 that the rise in domestic demand had become excessive. The discount rate was raised as early as 1959, and further increases were made in 1960 and in the spring of 1961. But action in other fields to moderate the increase of demand was not taken until the summer of 1962.

30. The difficulty is to a large extent political. With no individual party having an absolute majority in Parliament, broad political agreement has to be reached before any important new legislation can be passed. But there may be scope for a more active use of instruments which do not require parliamentary approval. Changes in building policy, for instance, could constitute a powerful policy weapon. It may be desirable that the Government should possess stand-by authority to increase or reduce taxes and expenditures within certain limits, so as to be able to adjust budget policy to changing circumstances at an early stage; such authority has been given to central governments in certain other countries, including Sweden and the United Kingdom.

31. While much can be achieved by a more flexible use of existing policy instruments, there is also need for new ones, particularly to influence the movement of wages and other incomes. In Denmark, as in most other countries, the tendency for prices to rise has made the authorities increasingly aware of the need to develop policies exerting a more direct impact on the movement of incomes than the traditional monetary and fiscal measures.

32. In Denmark there has been little systematic effort to establish an incomes policy, but the authorities have on several occasions intervened ad hoc in the development of incomes. Both in 1956 and 1963, when prolonged negotiations between the trade unions and the employers failed to produce agreement, wages and salaries were fixed by law. Statutory interventions of this nature, of course, can hardly set the pattern for future wage determination. But it is important to realise that the need for more systematic efforts to influence wage and income settlements has been increased by the fact that, since 1961, the Government has been granting considerable support to agricultural incomes.

Since the development of industrial wages is an important determinant of the size of the Government support to agriculture, it is important that wage, salaries and agricultural incomes settlements should be co-ordinated.

33. The Government has an important role to play in bringing about such co-ordination and in creating better public understanding of the issues involved. Full confrontation of the claims and views of all parties concerned should help to create better understanding of the interrelationships between wages, incomes and prices, and of the economic scope for higher real incomes. The Economic Council established in 1962, headed by three economic experts and composed of representatives of labour, private enterprise and the authorities, may constitute an important development in this direction.

34. A more systematic analysis of long-term trends would improve short-term demand management policy. Similarly, the agricultural problem and the need for structural change can best be studied within the framework of the longer-term prospects for the economy as a whole. More generally, the systematic study of long-term trends and policies should lead to the sharper definition of the authorities' objectives, a clarification of the relationships between those objectives, and a better understanding of how the objectives can be achieved.

35. For the public sector, a three-year programme of building plans was adopted in the spring of 1963. This programme covers the plans of both the central and the local authorities, including power stations and telephone companies. It will be subjected to annual revision and thus constitute a " rolling " three-year programme. A similar long-term programme for public civil engineering projects is now being considered by the Government. The public investment programmes clearly form an essential part of any long-term analysis. It would seem desirable to ensure that these programmes are consistent with trends in the private sector.

IV. CONCLUSIONS

The main conclusions of this survey can be summarized as follows :

a) Economic stability has been restored, following the disinflationary measures taken in 1962 and 1963. The rise in prices has levelled off and the foreign exchange reserves have been rebuilt to a more satisfactory level. The rise in production has slowed down to a rate of about 2 per cent in 1963, but unemployment has remained low.

b) The rise in the foreign exchange reserves can, to a large extent, be ascribed to foreign borrowing. But a further strong increase in industrial exports — of 15 per cent between 1962 and 1963 — has also contributed significantly to the improvement of the

foreign balance. The rise in industrial exports suggests that the competitive position of Danish industry remains strong.

c) The authorities expect a faster rate of growth to be resumed in 1964; existing restraints on domestic demand are being somewhat relaxed, and foreign demand for Denmark's industrial exports is likely to remain strong.

d) Considerable progress has been made over the last five to six years towards solving the structural problem. But further re-adjustment is needed; this will require a continued rapid growth of manufacturing production and it probably implies a further decline in the agricultural population. Past experience suggests that the maintenance of fast expansion and of competitive costs and prices are important conditions for further progress in an economy which is highly dependant on foreign trade. Some further foreign capital may be necessary to maintain a stable balance of payments under conditions of strong expansion.

e) The achievement of a high rate of growth and rapid structural re-ajustment will depend on the adequacy of economic policy. It would be desirable not only that existing policy instruments should be used more promptly, but that other instruments should be developed, particularly in order to keep incomes in step with production. Measures to promote a more flexible allocation of capital and labour should be considered. Structural as well as cyclical policies would be greatly facilitated by long-term studies of economic development ; this would help to clarify objectives and ensure consistency in day-to-day policy-making.

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STATISTICAL ANNEX

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TABLE I. NATIONAL PRODUCT AND EXPENDITURE

AT 1958 PRICES	D. KR. MILLION							PERCENTAGE CHANGE ANNUAL RATE		
	1950	1957	1958	1959	1960	1961	1962	1950-1957	1957-1960	1960-1962
Private consumption	20,329	22,115	23,136	24,520	25,980	27,611	29,153	1.2	5.5	5.9
Public consumption	3,089	4,471	4,500	4,795	5,081	5,381	5,682	5.4	4.3	5.7
Defence	467	951	966	940	1,019	1,114	1,258			
Civil	2,622	3,520	3,534	3,855	4,062	4,267	4,424			
Gross domestic fixed capital formation	4,381	5,528	5,922	7,142	7,846	8,585	9,534	3.4	12.6	10.2
Government	381	672	740	759	824	951				
Enterprises	4,000	4,856	5,182	6,383	7,022	7,634				
Change in stocks	1,311	719	— 161	853	1,438	668	1,149	—	—	—
Exports of goods and services	7,250	10,716	11,708	12,464	13,460	14,068	14,826	5.7	7.8	4.9
Less: Imports of goods and services	8,074	10,169	10,792	12,995	14,233	14,931	16,837	3.3	12.4	8.8
Gross national product at market prices	28,286	33,380	34,313	36,779	39,572	41,382	43,507	2.4	5.8	4.8

Source: Denmark's submission to the O.E.C.D.

TABLE II. GROSS NATIONAL PRODUCT BY INDUSTRIAL ORIGIN AT FACTOR COST

AT 1958 PRICES	D. KR. MILLION					PERCENTAGE CHANGE ANNUAL RATE		
	1950	1957	1960	1961	1962	1950-1957	1957-1960	1960-1962
Agriculture	5,249	5,227	5,201	5,404	5,467	0	0	2.5
Manufacturing[1]	7,763	9,083	11,286	11,695	12,397	2.3	7.5	4.7
Construction	1,979	2,324	2,821	3,040	3,177	2.3	6.7	6.2
Transportation and communication	2,435	3,330	3,732	3,925	4,108	4.6	3.9	4.9
Wholesale and retail trade	4,126	4,676	6,080	6,370	6,686	1.8	9.4	4.9
Government services	2,268	3,305	3,682	3,909	4,072	5.5	3.7	5.1
Other	3,977	5,172	5,915	6,023	6,424	3.8	4.6	4.2
Gross national product at factor cost	27,797	33,117	38,717	40,366	42,331	2.5	5.4	4.6

1. Including handicrafts.

Source: Denmark's submission to the O.E.C.D.

TABLE III. EXPORTS BY MAJOR COMMODITIES

	D. KR. MILLION CURRENT PRICES							PERCENTAGE DISTRIBUTION			
	1950	1957	1960	1961	1962	1962[1]	1963[1]	1950	1957	1961	1962
Agricultural goods	2,846	4,081	4,640	4,513	4,608	2,357	2,494	63.0	50.1	43.2	40.9
Industrial goods	1,332	3,473	4,819	5,176	5,664	2,733	3,376	29.4	42.7	49.5	50.3
Other goods	345	584	700	769	984	363	396	7.6	7.2	7.3	8.8
Total	4,523	8,138	10,159	10,458	11,256	5,453	6,266	100.0	100.0	100.0	100.0

1. 1st half.

Source: Economic Survey of Denmark, Varcomsaetningen Med Udlandet.

TABLE IV. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

Quarterly figures.

	UNITS	1961				1962				1963		
		I	II	III	IV	I	II	III	IV	I	II	III
1. Agricultural production, animal products	1953 = 100	120	131	128	121	125	135	122	119	125	135	
2. Manpower:												
a) Insured unemployed more than 6 days	per cent	2.7	0.9	0.4	1.6	2.6	0.6	0.3	2.5	5.5	0.8	
b) Hours worked per month in manufacturing	1953 = 100	121	109	106	120	119	121	105	118	115	115	101
3. Engineering: total order stock (end of period):												
a) Machine industry	1958 = 100	241	232	217	223	222	194	183	177	171		
b) Electrical industry	—	247	306	360	263	275	296	274	269	252		
c) Ship building	—	635	606	584	596	583	567	515	485	390		
4. Retail trade turnover	1953 = 100	135	148	157	186	152	172	175	195	161	183	
5. Building and construction:												
a) Buildings started (urban area)	1,000 m²	1,344	1,106	1,034	1,065	994	1,601	1,247	1,034	600	1,230	1,196
b) Dwellings under construction (end of period)	1,000's	30.7	31.9	31.7	30.5	31.0	33.5	33.6	32.3	29.5	31.0	31.4

Source: O.E.C.D. General Statistics, Statistiske Efterretninger.

TABLE V. MONETARY SURVEY

	UNITS	1957	1958	1959	1960	1961	1962	1963 1ST QTR.	1963 2ND QTR.	1963 3RD QTR.
Central Bank:	Millions									
1. Foreign assets[1] net	of Kroner	175	796	1,301	1,505	1,483	1,322	1,372	1,787	2,204
2. Claims on Government, net	—	2,132	2,153	1,675	1,261	1,578	1,395	1,043	1,120	1,305
3. Lending:										
a) to commercial banks	—	197	317	460	510	616	991	945	618	337
b) to others	—	55	44	62	62	50	101	95	90	94
4. Securities	—	505	556	464	472	478	839	822	864	744
5. Notes in circulation	—	2,432	2,642	2,892	3,005	3,318	3,504	3,354	3,546	3,498
6. Deposits from commercial banks	—	332	820	703	486	578	758	488	490	738
7. Other deposits	—	37	44	48	61	69	73	100	75	66
Commercial Banks:										
8. Foreign assets, net	—	266	456	323	1	— 166	—548	— 337	— 286	— 171
9. Net position with the Central Bank	—	135	503	243	— 24	— 38	— 233	— 457	— 128	401
10. Lending	—	6,994	7,422	8,946	10,412	11,740	13,399	13,630	14,128	13,918
11. Securities	—	1,395	1,902	2,001	1,857	1,933	2,218	2,211	2,214	2,368
12. Deposits	—	7,872	9,233	10,451	11,090	12,260	13,453	13,376	14,377	14,739
13. Government bond yield	per cent	7.10	6.09	5.58	5.99	6.47	7.04	7.06	6.93	6.52
14. Discount rate	per cent	5.5	4.5	5.0	5.5	6.5	6.5	6.5	6.5	6.0[2]

1. Including gold.
2. From November 13th the discount rate has been 5.5 per cent.

Source: Monetary Review, November 1963.

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